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SURETY CLAIM FILE — MASTER CASE DOCUMENT

Berkshire Hathaway Specialty Insurance (BHSI) — Surety Claims Division

CONFIDENTIAL — FOR INTERNAL CLAIMS HANDLING ONLY

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Document ID: SCF-CLM-2026-0042-MASTER

Claim Number: CLM-2026-0042

Bond Number: SUR8843012

Bond Type: Performance Bond (Public Works)

Date Document Compiled: March 30, 2026

Compiled By: Sarah Whitfield, Senior Claims Adjuster

File Status: OPEN — ACTIVE INVESTIGATION

Severity Rating: HIGH

Reserve Category: Level 3 (Executive Notification Required)

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1. ACCOUNT & RELATIONSHIP OVERVIEW

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Account Name: Acme Construction Holdings Group

Account Number: ACC-88213

Account Manager: Daniel Reyes (Underwriting)

Relationship Since: January 2018

Total Bonded Program: \$45,000,000 aggregate

Single Bond Limit: \$5,000,000

Program Status: Under Review (following current claim)

Acme Construction Holdings Group is a mid-sized general contracting enterprise headquartered in Riverside, California. The account has historically maintained a clean loss record with BHSI, with only two minor payment bond claims since 2018, both resolved without loss to the surety. The account operates through several subsidiaries, the most active of which is Acme Construction LLC, the principal named on Bond SUR8843012.

The hierarchical structure of this account for claims-handling purposes is:

Account: Acme Construction Holdings Group (ACC-88213)

■■■ Principal: Acme Construction LLC

■■■ Bond: SUR8843012 (Performance Bond, \$1,250,000 penal sum)

■■■ Claim: CLM-2026-0042 (Notice received 03/12/2026)

The account's bonded backlog at the time of the claim was approximately \$18.4 million across nine active projects in California and Nevada. The current

claim represents the first performance bond default in the account's history with BHSI and has triggered a full program review by the underwriting team.

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2. PRINCIPAL PROFILE

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Principal Legal Name: Acme Construction LLC

Principal Contact: Michael Torrance, Chief Operating Officer

Principal Address: 1420 Industrial Parkway, Riverside, CA 92501

Principal Phone: (951) 555-0142

Principal Email: legal@acmeconstruction.com

Federal Tax ID: XX-XXXXX882

Years in Business: 14

Bonding Capacity: \$5,000,000 single / \$45,000,000 aggregate

Trade Classification: General Engineering Contractor (California Class A)

Acme Construction LLC specializes in heavy civil and public infrastructure projects, including transit terminals, water treatment facilities, and municipal road works. The company employs approximately 180 workers and has completed more than 60 public works projects over the past decade.

Financial Condition (as of most recent statement, Q4 2025):

- Working Capital: \$2.1 million (declining from \$4.8 million in Q1 2025)
- Current Ratio: 1.12 (down from 1.9)
- Cash on Hand: \$640,000
- Outstanding Receivables: \$8.3 million (aging concern: \$2.7M over 90 days)
- Line of Credit: \$6,000,000 (fully drawn as of February 2026)

The deteriorating financial position through late 2025 and early 2026 is a central factor in the current default. The fully drawn line of credit and declining working capital suggest a liquidity crisis that ultimately prevented the principal from funding project completion. Underwriting notes from the

December 2025 renewal flagged the working-capital decline but renewed the program on the strength of the receivables and prior performance.

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3. OBLIGEE PROFILE

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Obligee Legal Name: City of Riverside Public Works Department

Obligee Contact: Patricia Nguyen, Director of Capital Projects

Obligee Address: 3900 Main Street, Riverside, CA 92522

Obligee Phone: (951) 555-0900

Obligee Email: claims@riverside-pw.gov

Legal Representation: Harmon & Wells LLP, Attn: Robert Harmon, Esq.

The City of Riverside Public Works Department is the obligee under Bond SUR8843012. The department administers capital infrastructure projects for the municipality and required the performance bond as a condition of awarding the Downtown Transit Terminal Modernization contract to Acme Construction LLC.

The obligee has engaged outside counsel (Harmon & Wells LLP) and has been professional but firm in its demands. The Director of Capital Projects, Patricia Nguyen, has indicated the city's strong preference for the surety to arrange completion of the work rather than tender the penal sum, citing the public importance of the transit project and an active grant-funding deadline tied to the Federal Transit Administration.

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4. BOND DETAILS & TERMS

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Bond Number: SUR8843012

Bond Type: Performance Bond

Bond Form: AIA A312 (2010 Edition) Performance Bond

Penal Sum: \$1,250,000.00

Effective Date: June 15, 2025

Contract Bonded: Downtown Transit Terminal Modernization, Phase 2

Contract Amount: \$1,250,000.00

Surety: Berkshire Hathaway Specialty Insurance

Principal: Acme Construction LLC

Obligee: City of Riverside Public Works Department

Key Bond Provisions (AIA A312):

- Section 3: The surety's obligation arises after (a) the obligee declares a contractor default, (b) the obligee terminates the contract, and (c) the obligee agrees to pay the balance of the contract price to the surety or a completion contractor.
- Section 4: Surety options upon default include: (4.1) arrange for the contractor to perform; (4.2) undertake completion itself through agents or independent contractors; (4.3) obtain bids for completion and arrange a contract; or (4.4) waive its right to complete and either pay the obligee or deny liability with reasons.
- Section 5: The surety's total obligation shall not exceed the penal sum of \$1,250,000.

A companion Payment Bond (SUR8843013, same penal sum) was also issued for this project but is tracked under a separate sub-claim, as several subcontractors have begun asserting payment claims. See cross-reference note in Section 14.

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5. PROJECT DESCRIPTION

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Project Name: Downtown Transit Terminal Modernization, Phase 2

Project Location: 500 Transit Way, Riverside, CA 92501

Original Contract Sum: \$1,250,000.00

Notice to Proceed: July 1, 2025

Contract Completion: May 30, 2026 (original)

Percent Complete: Approximately 58% at time of abandonment

Scope Summary: Structural steel erection, platform canopy installation, electrical rough-in, ADA-compliant access ramps, and pedestrian concourse finishes for the city's central transit hub.

The project involved the modernization of the city's primary bus and light-rail interchange. At the time of the principal's abandonment on February 28, 2026, the structural steel frame was approximately 75% erected, the platform canopy had not been installed, electrical rough-in was partially complete, and no finish work had begun. Subcontractors on site included Summit Steel Erectors, Pacific Electrical Systems, and Riverside Concrete & Paving.

The city's independent engineering consultant, Meridian Infrastructure Advisors, estimated the cost to complete the remaining work at \$840,000, which exceeds the undisbursed contract balance of \$525,000 by \$315,000. This shortfall is a primary driver of the projected loss and is discussed further in the financial analysis.

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6. NOTICE OF CLAIM — FULL TEXT

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The following is the full text of the Notice of Claim received by BHSI on March 12, 2026, via certified mail and email (claims@riverside-pw.gov).

NOTICE OF CLAIM UNDER PERFORMANCE BOND

Date: March 10, 2026

To: Berkshire Hathaway Specialty Insurance, Surety Claims Division

Re: Bond No. SUR8843012 — Downtown Transit Terminal Modernization

Dear Sir or Madam:

This letter constitutes formal notice of claim under the above-referenced performance bond. The City of Riverside Public Works Department (the "Obligee") hereby notifies Berkshire Hathaway Specialty Insurance (the "Surety") that Acme Construction LLC (the "Principal") has defaulted on its obligations under the contract dated June 15, 2025 for the Downtown Transit Terminal Modernization, Phase 2 project (the "Project").

The Principal ceased all work at the Project site on February 28, 2026 and has abandoned the Project, leaving structural steel partially erected, subcontractors unpaid, and the Project approximately 58% complete. The Obligee issued a Notice to Cure to the Principal on February 10, 2026, which expired without adequate response. The Obligee formally declared the Principal in default and terminated the contract on March 5, 2026.

Pursuant to the terms of the bond, the Obligee demands that the Surety promptly (a) arrange for completion of the remaining work, or (b) tender the penal sum of \$1,250,000 to the Obligee. The Obligee's independent estimate of the cost to complete is \$840,000. The Obligee notes that this Project is subject to a Federal Transit Administration grant with a completion deadline of September 30, 2026, and that time is of the essence.

Please be advised that a statutory response period of thirty (30) days applies. Failure to respond within this period may result in the Obligee pursuing all available legal remedies, including litigation for bad faith.

Sincerely,

Patricia Nguyen

Director of Capital Projects

City of Riverside Public Works Department

On behalf of the Obligee, with counsel Harmon & Wells LLP

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7. TIMELINE OF EVENTS

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June 15, 2025 Performance Bond SUR8843012 issued; contract executed.

July 1, 2025 Notice to Proceed issued; construction begins.

September 2025 Project on schedule; first two pay applications approved.

November 2025 First signs of delay; steel delivery slips two weeks.

December 2025 Principal's Q4 financials show working-capital decline.

January 15, 2026 Subcontractor Summit Steel reports slow payment from Principal.

January 28, 2026 Principal requests contract acceleration payment; city declines.

February 5, 2026 Subcontractor Pacific Electrical files preliminary lien notice.

February 10, 2026 Obligee issues Notice to Cure to Principal (14-day period).

February 24, 2026 Cure period expires without adequate corrective action.

February 28, 2026 Principal abandons the Project site; all work ceases.

March 5, 2026 Obligee declares default and terminates contract.

March 10, 2026 Obligee sends Notice of Claim to Surety.

March 12, 2026 Surety (BHSI) receives Notice of Claim; file opened.

March 14, 2026 Claim assigned to Senior Adjuster Sarah Whitfield.

March 18, 2026 Initial site inspection conducted with Meridian Advisors.

March 20, 2026 Reserve established; executive notification issued.

March 25, 2026 Demand letter received from Summit Steel (payment bond).

March 28, 2026 Principal's COO agrees to preliminary indemnity discussion.

March 30, 2026 Master case document compiled (this file).

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8. INVESTIGATION FINDINGS

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The claims investigation, led by Sarah Whitfield with support from Meridian Infrastructure Advisors and coverage counsel, has produced the following preliminary findings:

Finding 8.1 — Validity of Default:

The obligee followed the contractual and A312 procedures correctly. A Notice to Cure was issued February 10, 2026, the cure period lapsed, and a formal default declaration and contract termination were issued March 5, 2026. The default appears valid and the surety's completion obligation is properly triggered.

Finding 8.2 — Cause of Default:

The principal's abandonment was driven primarily by a liquidity crisis. The fully drawn \$6M line of credit, declining working capital, and \$2.7M in aged receivables left the principal unable to fund subcontractor payments and material purchases. There is no evidence of fraud, but there is evidence of over-extension across multiple concurrent projects.

Finding 8.3 — State of the Work:

The independent engineer confirmed the project is approximately 58% complete. Structural steel is 75% erected but requires inspection for weld integrity after the work stoppage exposed connections to weather. The platform canopy materials were purchased and are stored on site (estimated value \$95,000) — a potential salvage credit.

Finding 8.4 — Subcontractor Exposure:

At least three subcontractors are owed money by the principal: Summit Steel Erectors (\$148,000), Pacific Electrical Systems (\$86,400), and Riverside Concrete & Paving (\$42,000). These claims arise under the companion payment bond and are tracked separately but affect the completion strategy, as re-engaging these subcontractors may be more cost-effective than mobilizing new ones.

Finding 8.5 — Completion Cost Verification:

Meridian Advisors independently estimated the cost to complete at \$840,000. The surety's completion consultant is preparing competitive bids under A312 Section

4.3. Preliminary informal quotes range from \$815,000 to \$910,000, broadly confirming the obligee's estimate.

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9. FINANCIAL ANALYSIS & RESERVE WORKSHEET

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RESERVE WORKSHEET — Claim CLM-2026-0042 / Bond SUR8843012

Prepared by: Sarah Whitfield | Approved by: Gregory Palmer, Claims Manager

Reserve Date: March 20, 2026

A. Cost to Complete (loss reserve)..... \$840,000
B. Undisbursed Contract Balance (offset)..... (\$525,000)
C. Net Completion Exposure (A - B)..... \$315,000

D. ALAE / Expense Reserve..... \$95,000
- Consultant / engineering fees: \$45,000
- Legal / coverage counsel: \$35,000
- Investigation & travel: \$15,000

E. Subcontractor Payment Exposure (payment bond). \$276,400
(tracked under companion bond SUR8843013)

F. Gross Reserve (C + D)..... \$410,000
G. Anticipated Recovery (indemnity/salvage)..... (\$300,000)
H. Net Reserve Position (F - G)..... \$110,000

Notes on Reserve Methodology:

The gross reserve of \$410,000 reflects the net completion exposure plus expected loss adjustment expenses. The undisbursed contract balance of \$525,000 is a critical offset: under the A312 bond, the surety is entitled to the remaining contract funds when it completes the work, so only the shortfall above that balance represents true completion loss.

The anticipated recovery of \$300,000 is based on the General Indemnity Agreement (see Section 13) signed by the principal and two personal indemnitors, plus an estimated \$95,000 salvage value in stored canopy materials. The net reserve position of \$110,000 assumes moderate recovery success; a conservative scenario with no recovery would raise the net reserve to \$410,000.

Reserve Sensitivity Analysis:

- Best case (full recovery, low completion cost): Net loss ~\$45,000
- Expected case (moderate recovery): Net loss ~\$110,000
- Worst case (no recovery, high completion cost): Net loss ~\$465,000

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10. LOSS PAYMENTS LEDGER

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The following loss payments have been made or are pending as of March 30, 2026:

Date	Payee	Description	Amount

2026-03-22	Meridian Infrastructure Adv.	Initial site assessment	\$18,500
2026-03-27	Coverage Counsel (Bryce LLP)	Coverage opinion retainer	\$20,000
PENDING	Completion Contractor (TBD)	Mobilization deposit	\$85,000
PENDING	Summit Steel Erectors	Re-engagement (payment bd)	\$148,000
Total Paid to Date: \$38,500			
Total Pending / Committed: \$233,000			
Remaining Reserve After Commitments: \$138,500			

All payments are logged against the claim in the financial tracking system and reconciled monthly. Loss payments are distinguished from ALAE: amounts paid to complete the bonded work are loss; amounts paid to investigate and adjust the claim are ALAE (see Section 11).

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11. ALAE / EXPENSE PAYMENTS

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Allocated Loss Adjustment Expenses (ALAE) are expenses directly attributable to the handling of this specific claim, as distinct from the loss itself.

Date Vendor Purpose Amount

2026-03-18 Meridian Infrastructure Adv. Engineering inspection \$12,000

2026-03-22 Bryce & Associates LLP Coverage counsel \$20,000

2026-03-24 FieldPro Investigations Site documentation \$6,500

2026-03-29 Traveledesk Corporate Adjuster travel (2 trips) \$2,800

Total ALAE Paid to Date: \$41,300

ALAE Reserve Remaining: \$53,700

ALAE is capped at the reserve of \$95,000 and is reviewed at each diary date. Any projected overrun requires manager approval. Expenses relating to recovery actions against the indemnitors will be tracked as a separate recovery expense category once litigation or negotiation formally commences.

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12. RECOVERY & SALVAGE ANALYSIS

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Recovery potential in this claim is considered MODERATE TO STRONG, driven by a valid General Indemnity Agreement (GIA) and identifiable salvage.

12.1 Indemnity Recovery:

The GIA (Section 13) is signed by Acme Construction LLC and two personal indemnitors: Michael Torrance (COO) and Janet Torrance. Preliminary asset checks indicate the personal indemnitors own real property in Riverside County with estimated equity of \$480,000 and \$310,000 respectively. However, the corporate principal's liquidity crisis reduces the practical near-term recovery from the entity itself.

12.2 Salvage Recovery:

Approximately \$95,000 in platform canopy materials were purchased by the principal and are stored at the project site. If usable by the completion contractor, these materials represent a direct offset to completion cost.

12.3 Contract Balance:

The undisbursed contract balance of \$525,000 held by the obligee is available to the surety upon completion under the A312 bond, functioning economically as a recovery/offset against completion expenditures.

12.4 Estimated Total Recovery:

- Contract balance offset: \$525,000 (applied against completion)
- Salvage (canopy materials): \$95,000
- Indemnity (net practical): \$205,000 (estimated, subject to litigation)
- Total estimated recovery: ~\$300,000 (net of contract offset already modeled)

Recovery strategy will prioritize the salvage and contract balance (immediate, low-cost) before pursuing indemnity litigation (slower, expense-heavy). Counsel recommends securing the personal indemnitors' cooperation via a forbearance and payment plan before escalating to suit.

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13. INDEMNITY AGREEMENT SUMMARY

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General Indemnity Agreement (GIA)

Executed: May 20, 2025

Indemnitors: (1) Acme Construction LLC (corporate)

(2) Michael Torrance (individual)

(3) Janet Torrance (individual)

Key Provisions:

- The indemnitors jointly and severally agree to indemnify and hold the surety harmless from all loss, cost, and expense (including attorneys' fees) arising from any bond issued on the principal's behalf.
- The indemnitors grant the surety the right to settle or compromise any claim at its sole discretion, and agree that the surety's payment vouchers are prima facie evidence of the fact and amount of liability.
- The indemnitors agree to post collateral upon written demand by the surety in an amount the surety deems sufficient to cover any actual or potential loss.
- The agreement includes an assignment of contract proceeds, subcontracts, and materials to the surety in the event of default.

Collateral Demand Status:

A written collateral demand for \$410,000 was prepared on March 26, 2026 and is pending manager approval before service on the indemnitors. The strength of the GIA is a significant positive factor in the net reserve analysis.

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14. LITIGATION STATUS

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Current Litigation: None filed as of March 30, 2026 (pre-litigation posture)

Litigation Risk: MODERATE-HIGH

14.1 Obligor Bad-Faith Exposure:

The obligor's counsel (Harmon & Wells LLP) referenced potential bad-faith litigation in the Notice of Claim if the surety fails to respond within the 30-day statutory window (expiring approximately April 9, 2026). Prompt, good-faith

engagement and a written response electing a completion option are the primary mitigants. Counsel advises documenting all decisions thoroughly.

14.2 Subcontractor Payment-Bond Actions:

Summit Steel Erectors sent a demand letter on March 25, 2026 for \$148,000 under the companion payment bond (SUR8843013) and has threatened to file suit within 15 days. Pacific Electrical Systems (\$86,400) has filed a preliminary lien notice. These are tracked under the payment-bond sub-claim but influence completion strategy.

14.3 Indemnity Recovery Litigation (Prospective):

If the personal indemnitors do not cooperate with the collateral demand and payment plan, the surety may file suit to enforce the GIA and collect against the indemnitors' real-property equity. This is a prospective action, not yet filed.

Cross-Reference: The payment-bond sub-claim is documented in file SCF-CLM-2026-0042B and should be reviewed together with this master file for any global settlement strategy.

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15. CORRESPONDENCE LOG

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Date From / To Channel Summary

2026-03-10 Obligee → Surety Cert. Mail Notice of Claim

2026-03-12 Surety (auto-ack) → Obligee Email Receipt acknowledged

2026-03-15 Adjuster → Principal COO Phone Intro; default discussion

2026-03-17 Adjuster → Obligee Director Email Scheduling site visit

2026-03-18 Joint Site Inspection In Person Meridian + city + surety

2026-03-19 Adjuster → Coverage Counsel Email Requested coverage opinion

2026-03-23 Coverage Counsel → Adjuster Letter Coverage confirmed; A312

2026-03-25 Summit Steel → Surety Email Payment bond demand

2026-03-26 Adjuster → Manager Internal Collateral demand draft

2026-03-28 Principal COO → Adjuster Phone Willing to discuss indemnity

2026-03-29 Obligor Counsel → Surety Email Reminder of 30-day deadline

All correspondence is retained in the document management system (Hyland OnBase) and indexed to the claim. Real-time updates on new correspondence are broadcast to the claims team dashboard.

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16. ADJUSTER NOTES & STRATEGY

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Adjuster: Sarah Whitfield

Note Date: March 30, 2026

This is a textbook A312 performance-bond default with a valid termination and a cooperative obligor that prefers completion over tender. My recommended strategy is to elect completion under Section 4.3 (obtain bids and arrange a completion contract) rather than tender the penal sum, for three reasons:

1. The obligor strongly prefers completion due to the FTA grant deadline, and good-faith completion mitigates bad-faith exposure.
2. Completion allows the surety to control costs and apply the \$525,000 contract balance directly, whereas a straight tender of the \$1,250,000 penal sum would be far more expensive.
3. Re-engaging the existing subcontractors (Summit Steel in particular) may be cheaper and faster than full re-mobilization, and helps resolve the parallel payment-bond claims.

The key risks are: (a) the 30-day statutory deadline (~April 9) — we must send a written election letter before then; (b) completion cost overruns above the \$840,000 estimate; and (c) the principal's liquidity crisis limiting near-term indemnity recovery. I have drafted the collateral demand and am awaiting manager

approval.

Overall, I project a net loss in the range of \$110,000 (expected) with strong mitigation from the contract balance, salvage, and GIA. I have rated this claim HIGH severity due to the penal sum, the statutory deadline, and the bad-faith and litigation exposure, warranting executive notification.

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17. RISK FLAGS & ESCALATION

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- [X] HIGH VALUE — Penal sum \$1,250,000 exceeds Level 3 threshold (\$250,000).
- [X] STATUTORY DEADLINE — 30-day response window expires ~April 9, 2026.
- [X] BAD-FAITH EXPOSURE — Obligee counsel referenced bad-faith litigation.
- [X] PARALLEL PAYMENT-BOND CLAIMS — Multiple subcontractor demands pending.
- [X] PRINCIPAL INSOLVENCY RISK — Fully drawn credit line; liquidity crisis.
- [] FRAUD INDICATORS — None identified.
- [X] EXECUTIVE NOTIFICATION — Required due to Level 3 reserve category.

Escalation Path:

Adjuster (Whitfield) → Claims Manager (Palmer) → Claims Director → VP Surety.

Executive notification was issued March 20, 2026 upon reserve establishment.

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18. NEXT ACTIONS & DIARY DATES

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Priority Action Owner Due

HIGH Send written completion-election letter to obligee Whitfield 2026-04-05

HIGH Obtain manager approval; serve collateral demand Palmer 2026-04-02

HIGH Finalize competitive completion bids (A312 4.3) Consultant 2026-04-08
MEDIUM Negotiate re-engagement with Summit Steel Whitfield 2026-04-07
MEDIUM Confirm salvage value of stored canopy materials Meridian 2026-04-04
MEDIUM Coordinate payment-bond sub-claim strategy Whitfield 2026-04-10
LOW Update reserve after bids received Whitfield 2026-04-12
LOW Prepare indemnitor payment-plan proposal Counsel 2026-04-15

Next Diary Review Date: April 6, 2026

File Owner: Sarah Whitfield, Senior Claims Adjuster

Manager: Gregory Palmer

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END OF MASTER CASE DOCUMENT — SCF-CLM-2026-0042-MASTER

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SECONDARY CLAIM FILE — SUMMARY DOCUMENT

Claim CLM-2026-0091 — Pioneer Paving Payment Bond Claim

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Claim Number: CLM-2026-0091

Bond Number: SUR7710455

Bond Type: Payment Bond

Penal Sum: \$500,000.00

Principal: Pioneer Paving Inc.

Obligee: Nevada Department of Transportation

Claimant: Summit Aggregates (subcontractor/supplier)

Claim Amount: \$215,400.00

Date Received: February 5, 2026

Severity: MEDIUM

Status: OPEN — UNDER REVIEW

Summary:

Summit Aggregates, a materials supplier, submitted a payment bond claim for \$215,400 in unpaid aggregate and asphalt materials supplied to Pioneer Paving Inc. between November 2025 and January 2026 on the Nevada DOT Route 95 resurfacing project. The claimant provided signed delivery tickets and a notarized proof of claim. Pioneer Paving disputes \$38,000 of the claim, alleging a portion of the delivered material failed gradation specifications.

Investigation is focused on verifying the delivery tickets against the project records and evaluating the gradation dispute with an independent materials lab. The principal remains financially solvent, and recovery under the indemnity agreement is considered strong. The claimant has threatened litigation if payment is not made within 15 days of the February 5 demand.

Key Dates:

2025-11-01 First material deliveries begin.
2026-01-31 Final delivery; principal payment stops.
2026-02-05 Summit Aggregates files payment bond demand (\$215,400).
2026-02-20 Independent lab engaged for gradation dispute.
2026-03-01 Principal formally disputes \$38,000 subset of claim.

Reserve Summary:

Undisputed claim amount: \$177,400
Disputed amount (under review): \$38,000
ALAE reserve: \$15,000
Gross reserve: \$192,400
Anticipated indemnity recovery: (\$177,400)
Net reserve: \$30,000

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END OF MOCK DATA DOCUMENT SET

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